

STOCKHOLDER RELATIONS

AUDIT PROGRAM #50-30-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
March 2026	All	All	Dee Burris	Updated some links and minor wording changes
February 2025	Employee Stock Purchase Program, Contract Management	SC002.P SC006.S VM001.P	Dee Burris	Updated some links and minor wording changes
April 2023	Employee Stock Purchase Program	SC002.P	Don Dobrzelewski	Added Privacy Testing
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, investor relations is defined as the entire process involving activities within the IBM Investor Relations function, IBM Corporate Accounting (limited to stockholder activity), and the functions performed by vendors performing contracted services on behalf of IBM and its investors.

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PLANNING: Audit Program Risk Alignment

Stockholder Relations

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Share Reconciliation	High	Regulatory and Financial Reporting	RA001.P, RA002.S
Dividend	High	Stock Controls	SC005.S
Vendor Management	Medium	Vendor Management	VM001.P, VM002.S, VM003.S
Employee Stock Purchase Plan	Medium	Stock Controls	SC002.P
Sale of Stock by IBM Officers	Medium	Stock Controls	SC004.S
Proxy and Annual Meeting	Medium	Stock Controls	SC001.P
Correspondence	Low	Stock Controls	SC003.P
Investor Relations Website	Low	Vendor Management	VM001.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Contract Obligations Shareholder requests and complaints	- Whether there was adequate monitoring on contract obligations - Whether controls were in place to ensure adherence to contractual obligations - Whether shareholder requests and complaints to determine whether they were resolved in a timely manner - Whether adequate controls were in place to protect shareholder information.	- Unclosed shareholder requests or complaints - Tickets that take long time to solve	- Lack of enforcement or monitoring - Non-compliance with SEC regulations - Exposure of IBM confidential data - Unprotected sensitive personal information
Dividend payments	- Review dividend payments prior to mailing to stockholders - Funding for disbursements of dividends payments. - Reconciliations between the funding letters and the funding account were performed.	- Payment checks with incorrect sending date - Incorrect calculation of the payment amount - Unreconciled funding letter and funding amount for interest calculated - Incorrect rate for interest calculated	- Lack of required approvals of dividend payments - Incomplete or late funding of dividends payments - Incomplete or unapproved reconciliations

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PLANNING: Reference Material

Corporate Finance Instruction 101- Control of Disbursements
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>

Corporate Instruction PROC 167 - Supplier sourced goods and services
<https://w3.ibm.com/ibm/corporate-documents/proc/proc-167>

Corporate Instruction FIN114- Public release of financial information
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-114>

MCC 111: Statements to the Press on Sensitive Matters
<https://w3.ibm.com/ibm/corporate-documents/mcc/mcc-111>

Corporate Policy 130- IBM Data Privacy Policy
<https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-130>

LEG 116 Classification and control of IBM information
<https://w3.ibm.com/ibm/corporate-documents/leg/leg-116>

Corporate Information for complying with the European Union laws around the General Data Protection Regulations (GDPR)

IBM Regulatory Compliance - GDPR: <https://w3.ibm.com/w3publisher/ibm-regulatory-compliance/privacy/gdpr>

Corporate Instruction Finance 182- Management Self-Assessment of Controls
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-182>

CI DG 101 - Data Governance
<https://w3.ibm.com/ibm/corporate-documents/cdo/dg101>

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Disbursements - Lack of receipts, missing or incomplete approvals including secondary approvals when required and post approvals of disbursements	All invoices go through the APU function, so they follow the controls and process in place.	Select a judgmental sample of vendor invoices paid through the APU and verify that the invoices were accurate and included substantiative backup, that specific charges were in accordance with contractual guidelines and that approvals and payments were made according to contractual or invoice requirements.
Reconciliations - Not performed or performed inaccurately, or missing approvals and/or independent reviews of the information provided from/to vendor	Monthly and Quarterly reviews by independent party to ensure that all information coming to/from the vendor is accurate	Select a sample of the reports provided to the SR team during the audit period and recreate the reconciliations ensuring that the information is accurate.
Separations of Duties - Incomplete or missing SOD could lead to a lack of independence of account signers, approvers, or reconcilers	Yearly SOD assessment review and approval	Request most recent SOD and ensure that all the tasks and people in the organization are included, and that the final product has been reviewed and approved by an independent party,

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Objective:

Do controls ensure that all stock transactions are recorded appropriately and meet all requirements?

Risk/Exposure:

A lack of adequate controls over operations supporting stock transactions through proxy reporting, answering shareholder questions, employee purchases, sale by IBM officers, buybacks, and dividend payments could result in improper allocations, financial errors, negative publicity, and shareholder dissatisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Primary Test: Proxy and Annual Meeting (SC001.P)

Objective:

To assure attention to proxy and annual meeting requirements were met to avoid invalidated annual meeting (New York state regulatory requirement), additional expenses, shareholder dissatisfaction, improper filings to the securities and exchange commission (SEC), and damage to IBM image.

Approach:

- Review the plan and execution of the processes to verify whether adequate controls existed to prevent key dates from being missed and to ensure compliance with IBM requirements and SEC regulations. Review the proxy checklist document completed for the last cycle to allow discussions on other steps taken in the process as well as validation of key dates.
- Evaluate the IBM process to see if an independent inspection on proxy tabulation and voting is being performed, and if so, review the results and any communication of defects.
- Assess communications with the solicitor vendor to ensure IBM has gauged shareholders voting expectations.
- Validate the letters sent to the top 125 investors occurred and were signed.

*Note that validation at each step should include activities for both the small shareholders (owned by Stockholder Relations reporting through Legal), as well as the institutional investors (owned by Investors Relations reporting through finance).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Primary Test: Employee Stock Purchase Program (SC002.P)

Objective:

To ensure monthly controls over payroll transmissions of employee stock purchase transactions enables the accurate and timely issuance of shares.

Approach:

Review samples tested of control logs of transmission receipts and vendor receipts of IBM payroll notifications for employees that participate.

Review transmission of data for security and privacy requirements, along with any data retention for sensitive personal information (SPI) per the country participating.

Determine if IBM is notified timely of rejected transactions, and that appropriate steps were taken to contact the employee for resolutions.

Select a judgmental sample of transmitted transactions to verify the timely posting to depository accounts and applicable stock certificate issuance.

Determine if there are late country transmissions and review for proper handling.

Review any specially defined controls for countries, financial institutions (like credit unions), or executives that require additional attention. Are they handled according to instructions as defined by contract and IBM stockholder relations?

Determine if consideration for compliance with the European Union's laws in place for General Data Protection Regulation (GDPR) was completed.

If applicable, can the client demonstrate compliance and adherence within the process with the current GDPR requirements.

Test: Privacy

Objective:

Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions are composed with two key areas of the business to help address compliance with these various high-level laws.

- **IBM as a Controller** – The Enterprise Privacy Baseline – Controller establishes the high-level requirements that IBM must meet when acting as a Controller of Personal Information (PI). That is, PI that IBM collects and processes for its own purposes, such as Business Contact Information that IBM holds on its existing or potential customers or suppliers.
- **IBM as a Processor** – The Enterprise Privacy Baseline – Processor establishes the principles and requirements that IBM must meet when acting as a Processor of Client Personal Information (PI) and applies to all products, offerings, and services (including their components) that IBM provides to Clients, regardless of whether IBM develops or re-brands them, or provides them for a fee or on a beta, trial, or no-charge basis.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Primary Test: Employee Stock Purchase Program (SC002.P)

(Continued)

Approach:

Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

Testing:

IBM as Controller

If IBM is Controller, request a risk-based sample of Privacy Impact Assessment (PIA) for the processes and/or assets. Complete the testing based on the latest CA&AS required data privacy education.

IBM as Processor

If IBM is Processor, select a sample of products/offerings/services provided for the in-scope activities. Complete the testing based on the latest CA&AS required data privacy education.

IBM as both Controller and Processor

Test either IBM as Controller or Processor, do not test both. Consider the volume and sensitivity of the controller and processor data and select the higher risk.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Primary Test: Shareholder Requests and Complaints (SC003.P)

Objective:

To ensure adequate controls on shareholder requests and complaints to avoid shareholder dissatisfaction.

Approach:

- Select a sample of shareholder requests and complaints from internal and vendor sources to determine whether they were resolved in a timely manner.
- Validate the ComputerShare logs of all calls and ensure they met their Service Level Agreements within the contract (note an overlap with Contract Management on this key measurement).
- Test the resolution timing at the vendor matches what they reported to Shareholder Relations in the monthly reviews.
- Internal calls have a ticket opened for those requests that cannot be resolved in one call, so our auditable universe will be those calls complex enough to warrant opening an internal ticket.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Secondary Test: Sale of Stock by IBM Officers (SC004.S)

Objective:

To ensure any sale of stock by an IBM officer is reported appropriately to Human Resources, and to the regulators as required.

Approach:

Review the daily log file from Computershare for executive stock activity to select a sample of transactions to review for:

- Assurance of correct reporting to HR and regulators.
- Pay attention to the dates just before any major announcements for potential insider trading.
- Review the process to ensure the vendor has an accurate listing of executives to report stock activity on.
- Verify the timing requirements from the regulators were met (for example if IBM must report a sale within two weeks, that it was within two weeks).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Secondary Test: Dividend Controls (SC005.S)

Objective:

To determine if IBM Stockholder Relations' controls over dividend disbursements were adequate.

Approach:

Determine the following through universe analysis and sample testing:

- That dividends were funded and paid to Investors of record as determined on the dividend announcement date.
- That dividend funding and disbursement was approved and transferred appropriately.
- That a sample of replacement payments/checks contained the appropriate supporting documentation and were processed timely.
- That any late dividend payments had appropriate supporting documentation and corrective actions.

Note the primary activity owned by Stockholder Relations is receiving the reconciliation of shares from ComputerShare as of the declaration date to multiply by the dividend and have that letter signed by two parties and sent to Treasury for payment.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Stock Controls

Secondary Test: Stock Buyback Controls (SC006.S)

Objective:

To ensure all required and appropriate measures were taken during the last stock buyback, inclusive of funding approvals, regulation requirements, and recording of the actual transaction(s).

Approach:

Obtain evidence of any buybacks within the last two years (since often annually, want to ensure at least one to test). Note that Treasury is the primary owner of this activity, and Stockholder relation team needs to notify ComputerShare to record the transaction. Review the transactions for:

- Appropriate approvals by the Board of Directors
- Timely transacted by the vendor at the rate(s) IBM agreed to
- Movement of funds for the purchase was per policy and there were no differences in the amounts.
- IBM ledger was appropriately updated for the reduction in share count and in the cash movement.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Objective:

Are contracts for vendors, including the registrar, properly negotiated, selected, accounted for, and monitored? Are total fees and expenses reasonable, properly accounted for, and adequately managed?

Risk/Exposure:

Contracts that are improperly bid, negotiated, or selected could result in IBM not receiving the best value. Improper management of contracts could lead to cost overruns, improper accounting treatment or reporting, and continued selection of vendors which do not provide best value to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Primary Test: Contract Management (VM001.P)

Objective:

Validate if contracts for critical vendors were properly negotiated, selected, accounted for, and monitored. Request and review any data security agreements made with the vendors, along with any Service Level Agreements (SLA) that are monitored.

Approach:

Note: As of July 2018, the three primary vendors that Stockholder Relations manages were ComputerShare (transfer agent), Morrow (solicitor), and Broad Ridge Financial (NY Stock Exchange mailings to shareholders). All are required vendors and have been in place for many years.

For each selected contract and/or amendment confirm that:

- Given the nature of the suppliers with the government requirements, assess that procurement delegation and/or single source exception approval(s) are on record and meet the requirements of IBM Procurement Blue Book policy. Ask if any benchmarking or considerations for new suppliers has been discussed.
- Signed contracts on file and available for review.
- No payments were made to the vendor prior to the final contract.
- Legal reviewed the contract.
- Contracts include all necessary clauses to protect both IBM and its current and former stockholders.
- Larger contracts include audit clauses that allow further review of contracted processes, including any regulatory reviews. Note there was an inspection on proxy tabulation and voting that should be permitted in the Computershare contract (testing to be in Stock Controls).
- Statement on Accounting Standards (SAS) 70 was provided and reviewed where applicable.
- All SLAs are monitored, and applicable penalties have been assessed. (note testing of complaints in Stock Controls).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Secondary Test: Registrar Controls (VM002.S)

Objective:

To determine if vendor controls over IBM stock transactions ensured the proper and timely accountability for all sales, issuance, and transfers.

Approach:

Review the monthly contract performance deliverables and verify accuracy.

Determine the following:

- Determine if daily cutoff controls and the share balancing process is accurate. (number of shares authorized and issued to the total number outstanding shares).
- Determine if entries from the daily logging inquiries were processed timely, back-up existed as defined by the contract with the vendor.
- Determine if stock transactions were accurately recorded in the vendor's system.
- Determine if stocks were properly canceled and issues and were accurately recorded in the vendors records.
- Review the process by which IBM issues stock options and restricted stock awards. Validate that IBM and vendor controls ensure that stock options and awards were properly executed and secured. Note any differences between executive and staff in relations to options and awards.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Secondary Test: Fees and Expenses (VM003.S)

Objective:

To ensure stockholder related fees and expenses are reasonable, comprehensively, and completely identified, and reviewed by management.

Approach:

- Review the annual worldwide budget for stockholder relations, noting that it is part of the larger Legal budget. Review and discuss the budget process and obtain an explanation for expenses over plan, noting that market fluctuations could impact some fees.
- Determine if fees and expenses are reviewed at a detailed enough level on a periodic basis by management to contain or manage costs. Can the total population of all fees and expenses be identified, including costs charged directly against trades? The review should include a year-to-year comparison and an actual to budget comparison.
- Review accounting treatment of all fees and expenses. Verify that expenses are classified correctly and have been recorded in the appropriate time period.
- Review adequacy of disbursement controls for the following:
 - Are appropriate payment authorization guidelines in place, and are they being followed?
 - Are separation of duties over accepting, paying, and recording of fees adequate?
 - Are invoices received for payment reviewed for content, accuracy and supporting documentation?
 - Do billings conform to contractual requirements for services to be performed and are they in accordance with billing terms?
 - Are invoices paid timely?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Regulatory and Financial Reporting

Objective:

To determine whether required SEC and other government requirements are being met. Furthermore, to ensure that all reporting is supported by the general ledger; that reporting to IBM management and external bodies is reviewed and reported on a timely basis; and that reporting is in accordance with finance instructions (FIN 114) and related accounting instructions.

Risk/Exposure:

Non-adherence to SEC or government requirements could lead to fines, penalties, increased government oversight, negative publicity, and shareholder dissatisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Regulatory and Financial Reporting

Primary Test: Regulatory and Government Requirements (RA001.P)

Objective:

Determine whether all required government and regulatory requirements are being met. Furthermore, determine whether appropriate and timely corrective action had been taken to resolve any government exceptions. Note the SEC will be the primary regulator, but since activity occurs worldwide, evaluate cross border implications.

Approach:

- Determine whether the SEC requirements for a corporate entity are being met. Validate items like the IBM Stockholder Relations website is meeting the criteria outlined, along with other vendor handled obligations are included in the contract and monitored.
- What are the reporting requirements for the sale and/ or purchase of company stocks, dividend payments, and/or employee sales and who is responsible for completion of those reports? Verify if stockholder relations provide input for the 10-K (as an example) and what the process is to ensure any figures provided are correct. Obtain evidence of compliance with reporting requirements identified both within the US and in other countries as applicable.
- Are there any audit requirements that Stockholder Relations should ensure audits occur periodically? If yes, were the audits performed and communicated appropriately to management? Were audit recommendations that resulted from any findings implemented?
- Were there any exceptions? Were exceptions adequately documented and explained?
- Have any penalties incurred? If yes, were they subsequently reviewed with legal and resolved?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Regulatory and Financial Reporting

Secondary Test: Financial Reporting (RA002.S)

Objective:

Determine whether accruals, ledger balances, reconciliations, budgeting, and expense reporting are reviewed to ensure accurate IBM books.

Approach:

- Receive a list of reports reviewed periodically for expense management along with a copy of the latest reports inclusive of budget and actuals reviewed.
- Were there any action plans required to meet the directives listed? If yes, were the plans provided to demonstrate management attention to meet the desired outcomes? (Note this test is not to see if they met the budget, only that sufficient management attention to provide assurance that options were evaluated.)
- Have there been any significant changes in the year-to-year totals? If yes, receive justification of any changes to the process and confirm audit was already advised of this process change.
- Review the accrual calculation and the bank reconciliation process to validate appropriate interest and principal valuations are reflected on IBM Ledger.